

Emerging Markets Insights: Underowned, undervalued and underappreciated

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/equity/emerging-markets-insights-underowned-undervalued-and-underappreciated>

Extraction method: selenium

Emerging Markets Insights: Underowned, undervalued and underappreciated

Three things we are thinking about today

Emerging markets (EMs) outperformance: EMs have outperformed global equities year-to-date, with a number of factors driving gains, including US dollar weakness, domestic demand opportunities and policy flexibility. EM equities have historically outperformed global equities during periods of US dollar weakness, and this cycle appears to be similar. The potential for growth in domestic demand to offset Trump tariffs also spurred interest in EM equities. In addition, the policy flexibility that EM governments have, in contrast to limited flexibility in developed markets, has also supported EM equities. Taken together, these factors support our view that EMs are underowned, undervalued and underappreciated.

Tariff negotiations with China: Both China and the United States have a vested interest in entering negotiations to reduce tariffs on imports from each other. Signs of de-escalation are already emerging, with the United States exempting selected consumer electronics imported from China from tariffs, and China quietly removing tariffs on selected semiconductors, pharmaceuticals and aircraft engines imported from the United States. US Treasury Secretary Scott Bessent has described current China tariffs as “untenable,” and we believe it is likely only a matter of time before negotiations begin. Market moves seem to confirm this view, with the MSCI China Index up 9% year-to-date.²

Mexico moves closer to a deal: US President Trump has made it clear that he wants to renegotiate the United States-Mexico-Canada Agreement (USMCA), which he agreed to in his first term. Mexico’s president, Claudia Sheinbaum, has been quick to address US concerns, delivering a dramatic reduction in immigration and making progress on the flow of Fentanyl into the United States. The market seems to expect that the two countries and Canada will successfully renegotiate the USMCA and prevent a surge in tariffs, as reflected in the 20% gain in the MSCI Mexico Index year-to-date.³

Outlook

A group of five of our portfolio managers and research analysts attended a large-scale conference in Dubai, which is the world’s largest conference in the Middle East and North Africa (MENA) region. This coincided with the sudden drop in oil prices earlier in the month. The team met with 85 companies, leaving the conference with some positive takeaways amid external uncertainties.

It was largely business as usual for companies with a domestic tilt. In fact, although some companies that the group met with were monitoring external events, such as tariffs and geopolitical concerns, they were not currently changing their strategies. For these companies, any pressures in their respective sectors present an opportunity for smaller players to exit, while enabling other companies to expand their market share.

A conversation one of our portfolio managers had with the management teams of Saudi Arabian companies reiterated this trend. Saudi corporates are looking to partner with the Saudi Arabian government, or the country’s sovereign wealth fund, in government projects that are part of the Saudi Vision 2030 initiative. This initiative aims to diversify the economy and reduce dependence on oil. This collaboration spans various sectors, including infrastructure, energy, health care and technology, in the form of project awards or any other format, including public-private partnerships or joint ventures. While these partnerships have yet to happen, we sense that there may be opportunities for this to happen in the medium to long term. This means that Saudi Arabia can lean on the large corporations to pursue non-oil economic growth. Benefits also exist for these companies. For instance, an existing joint venture between a logistics and transportation company and a majority state-owned company has provided the former with a pipeline of projects and agreements, allowing for earnings visibility.

While the MENA region is generally known to be reliant on oil prices, several countries have already started diversifying their sources of economic growth. In the view of one of our MENA-based portfolio managers, Saudi Arabia stands to

suffer the most from a consistent and long period of lower oil prices. However, our constant engagement with Saudi Arabia-based companies has unearthed what we consider positive complexities. We will continue to embark on this journey of deep, thoughtful dialogue that we believe should provide a balanced insight and help to shape our portfolios in this sea of uncertainty.

Market review: April 2025

EM equities rose in April 2025. Reactions to US tariffs announced on April 2, 2025, an event the Trump administration dubbed "Liberation Day," differed. The US president lowered reciprocal tariffs to 10% for a 90-day period for countries that attempted to negotiate. Although most countries chose to embark on trade talks, China notably ramped up tariffs on its US imports. For the month, the MSCI EM Index returned 1.34%, while the MSCI World Index rose 0.94%.

The emerging Asia region rose. Chinese equities slid as the trade conflict between the world's two largest economies continued to heat up, with both China and the United States placing tariffs on each other's exports. Conflicting statements regarding US-China negotiations also highlighted the underlying tensions between both countries. Taiwan activated stock market mechanisms to ensure market stability—such as its stability fund and short-selling curbs—to reduce tariff-induced market turmoil.

South Korean equities managed to advance. The country announced an increase in its support package for the semiconductor industry to cope with heavier costs and launched a supplementary budget to support key industries. The country's central bank also paused its easing cycle and kept its policy rate steady to stabilize the Korean won. The US announcement to delay auto tariffs, along with domestic bank action to lower savings interest rates, buoyed Indian equities. The central bank's decision to reduce its policy repo rate synchronized with a drop in inflation. The Reserve Bank of India moved to inject liquidity into the financial sector, supporting banking stocks further. Our Asian equity portfolio manager believes that there is a high probability of a de-escalation scenario in which the United States is likely to come to agreements with most countries, excluding China, on the reciprocal tariff rates in the next three months.

Equities in the emerging Europe, Middle East and Africa region rose. Oil prices sank amid escalating trade tensions and a surprise decision by some OPEC+ oil producers to boost output. This led to concerns over delayed progress in oil-producing nations' economic reforms, such as Saudi Arabia and the United Arab Emirates. Turkey's central bank hiked its key interest rate 350 basis points to 46% in a surprise move that reversed an easing cycle. While this helped to provide some calm from March's market turmoil, triggered by the arrest of Istanbul's mayor, Turkish equities still ended the month lower.

Equities in the emerging Latin America region gained. Mexican equities soared as USMCA-compliant exports dodged the tariffs announced on Liberation Day. The possibility of a lower tariff on exports not covered by the USMCA also emerged. Falling interest rates also boosted Mexican equities. Brazilian equities also rose as the country committed to pursuing trade negotiations with the United States, while seeking to expand its network of trade agreements.

Endnotes

As represented by the MSCI All Country World Index, between January 1, 2025, to April 30, 2025.

As represented by the MSCI China Index, between January 1, 2025, to April 30, 2025.

As represented by the MSCI Mexico Index, between January 1, 2025, to April 30, 2025.

Index Definitions

Past performance is not an indicator or a guarantee of future performance. Indexes are unmanaged and one cannot invest directly in an index. Important data provider notices and terms available at www.franklintempletondatasources.com.

The MSCI All Country World Index is a free float-adjusted, market capitalization-weighted index designed to measure the equity market performance of global developed and emerging markets.

The MSCI Brazil Index is designed to measure the performance of the large- and mid-cap segments of the Brazilian market.

The MSCI China Index captures large- and mid-cap representation across China A shares, H shares, B shares, Red chips, P chips and foreign listings (e.g., ADRs).

The MSCI EM Asia ex Japan Index captures large- and mid-cap representation across two of three developed markets

(DM) countries (excluding Japan) and eight emerging markets (EM) countries.

The MSCI EM Latin America Index captures large- and mid-cap representation across five emerging markets (EM) countries in Latin America.

The MSCI EM EMEA Index captures large- and mid-cap representation across 11 emerging markets (EM) countries in Europe, the Middle East and Africa (EMEA).

The MSCI EM Index is a free float-adjusted, market capitalization-weighted index designed to measure the equity market performance of global emerging markets.

The MSCI India Index is designed to measure the performance of the large- and mid-cap segments of the Indian market.

The MSCI Mexico Index is designed to measure the performance of the large- and mid-cap segments of the Mexican market.

The MSCI South Korea Index is designed to measure the performance of the large- and mid-cap segments of the South Korean market.

The MSCI Turkey Index is designed to measure the performance of the large- and mid-cap segments of the Turkish market.

The MSCI World Index captures large- and mid-cap representation across 23 developed market countries.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

The government's participation in the economy is still high and, therefore, investments in China will be subject to larger regulatory risk levels compared to many other countries.

There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Taiwan could be adversely affected by its political and economic relationship with China.

WF: 5269569

Previous Issues

Emerging Markets Insights: Of trade and tariffs

Emerging Markets Insights: China plays catch-up

Emerging Markets Insights: Tariff man

Emerging Markets Insights: All eyes on January 20

PREVIOUS ISSUES

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The

information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.